CONFIDENTIAL
Last updated: 24 May 2023

Contract Hacks Limited
Sales Contract Playbook

This contract playbook is for the Contract Hacks sales team to use when negotiating our standard sales contract. If you receive a non-standard request when negotiating a sales contract, speak to the Contract Hacks legal team before proceeding.

How to use the playbook:

- As standard, you should push for our preferred position.
- You may change to a fallback position indicated with a ✅ without further approval.
- Fallback positions indicated with a ⛔ require approval from the Contract Hacks legal team before you offer them.
- You must not offer a custom position without first getting approval from the Contract Hacks legal team.

Clause	Topic	Preferred position	Fallback position	Notes
1.1	Force Majeure Event definition	**Short form (default):** "an event, circumstance or cause beyond a party's reasonable control." **Long form (✅):** "any circumstances not within a party's reasonable control, including (a) acts of God, flood, drought, earthquake or other natural disaster; (b) epidemic or pandemic; (c) terrorist attack, civil war, civil commotion or riots, war, threat of or preparation for war, armed conflict, imposition of sanctions, embargo, or breaking off	✅ "any circumstances not within a party's reasonable control, including (a) acts of God, flood, drought, earthquake or other natural disaster; (b) epidemic or pandemic; (c) terrorist attack, civil war, civil commotion or riots, war, threat of or preparation for war, armed conflict, imposition of sanctions, embargo, or breaking off of diplomatic relations; (d) nuclear, chemical or biological contamination or sonic boom; (e) any law or any action taken by a government or public authority, including without limitation imposing an export or import restriction, quota or	The Force Majeure Event definition defines when either party is excused from its obligations because something happens beyond its reasonable control. As standard, we use a short clause because we benefit most from a vague definition. Some customers will want a more extensive

		of diplomatic relations; (d) nuclear, chemical or biological contamination or sonic boom; (e) any law or any action taken by a government or public authority, including without limitation imposing an export or import restriction, quota or prohibition; (f) collapse of buildings, fire, explosion or accident; (g) any labour or trade dispute, strikes, industrial action or lockouts; (h) non-performance by suppliers or subcontractors; and (i) interruption or failure of utility service."	prohibition; (f) collapse of buildings, fire, explosion or accident; (g) any labour or trade dispute, strikes, industrial action or lockouts (other than in each case by the party seeking to rely on the Force Majeure Event, or companies in the same group as that party); and (h) interruption or failure of utility service."	definition - we also have a preferred long-form clause to meet this need. Our fallback position excludes strikes by our own staff and non-performance by our suppliers or contractors. It's possible that customers will push back in these areas, and that's reasonable.
6	Title and risk	"6.1 Risk in the Goods passes to the Customer on completion of delivery. 6.2 Title to the Goods does not pass to the Customer until Contract Hacks receives payment in full (in cash or cleared funds) for the Goods and any other goods that Contract Hacks has supplied to the Customer in respect of which payment has become due, in which case title to the Goods shall pass at the time of payment of all such sums. 6.3 Until title to the Goods has passed to the Customer, the Customer must: 6.3.1 store the Goods separately from all other goods held by the Customer so that they remain readily identifiable as Contract Hacks' property; 6.3.2 not remove, deface or obscure any identifying mark or packaging on or relating to the Goods; 6.3.3 maintain the Goods in satisfactory condition and keep them insured against all risks for their full price from the date of delivery; 6.3.4 notify Contract Hacks immediately if it becomes subject to any of the events listed in clause to clause (inclusive); and	⛔ "Title and risk in the Goods pass to the Customer on completion of delivery."	Under our preferred position, we keep title to the Goods until the Customer has paid for them. This gives us better protection if the Customer goes insolvent before paying us. Our fallback position transfers title on delivery (even if the Customer hasn't paid). Before offering this position, we need to check the Customer's credit status to manage our risk.

		6.3.5 give Contract hacks such information as Contract Hacks may reasonably require from time to time relating to: 6.3.5.1 the Goods; and 6.3.5.2 the ongoing financial position of the Customer. 6.4 At any time before title to the Goods passes to the Customer, Contract Hacks may require the Customer to deliver up all Goods in its possession that have not been resold, or irrevocably incorporated into another product and if the Customer fails to do so promptly, enter any premises of the Customer or of any third party where the Goods are stored in order to recover them."		
8.4	Liability cap	"Subject to clause 8.3, Contract Hacks' total liability to the Customer shall not exceed £10,000."	✅ "Subject to clause 8.3, Contract Hacks' total liability to the Customer shall not exceed £10,000 or (if greater) the price actually paid by the Customer under the Contract."	Our standard liability cap is £10,000 per contract. The cheapest widget we sell is more than £10,000, so this manages our risk and helps us get cheaper insurance. It's market practice to offer a liability cap equal to the price paid by the customer. So we're okay to give this fallback position if the customer asks for it.
9.1	Termination for cause	"9.1 Without limiting its other rights or remedies, Contract Hacks may terminate this Contract immediately by giving notice to the Customer if: 9.1.1 the Customer materially breaches any term of the Contract and (if such a breach is remediable) fails to remedy that breach within 7 days after being notified to do so; 9.1.2 the Customer takes any step or action in	✅ "9.1 Without limiting its other rights or remedies, either party may terminate this Contract immediately by giving notice to the other party if: 9.1.1 the other party materially breaches any term of the Contract and (if such a breach is remediable) fails to remedy that breach within 7 days after being notified to do so;	Our standard termination position gives Contract Hacks (but not the Customer) the right to terminate for cause if the Customer breaches the agreement materially, goes insolvent, ceases trading, or gets into other financial trouble.

		connection with its entering administration, provisional liquidation or any composition or arrangement with its creditors (other than in relation to a solvent restructuring), obtaining a moratorium, being wound up (whether voluntarily or by order of the court, unless for the purpose of a solvent restructuring), having a receiver appointed to any of its assets or ceasing to carry on business or, if the step or action is taken in another jurisdiction, in connection with any analogous procedure in the relevant jurisdiction; 9.1.3 the Customer suspends, threatens to suspend, ceases or threatens to cease to carry on all or a substantial part of its business; or 9.1.4 the Customer's financial position deteriorates so far as to reasonably justify the opinion that its ability to give effect to the terms of the Contract is in jeopardy."	9.1.2 the other party takes any step or action in connection with its entering administration, provisional liquidation or any composition or arrangement with its creditors (other than in relation to a solvent restructuring), obtaining a moratorium, being wound up (whether voluntarily or by order of the court, unless for the purpose of a solvent restructuring), having a receiver appointed to any of its assets or ceasing to carry on business or, if the step or action is taken in another jurisdiction, in connection with any analogous procedure in the relevant jurisdiction; 9.1.3 the other party suspends, threatens to suspend, ceases or threatens to cease to carry on all or a substantial part of its business; or 9.1.4 the other party's financial position deteriorates so far as to reasonably justify the opinion that its ability to give effect to the terms of the Contract is in jeopardy."	Our fallback position makes these termination rights mutual. It's market practice to offer these mutual termination rights, so we're okay to give this fallback position if the customer asks for it.